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Subject Code: DMM-06

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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)

(TRIMESTER – V) END TERM EXAMINATION, DECEMBER - 2022

MARKETING OF FINANCIAL SERVICES

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Write short notes on the following:

(10×3=30)

- (a) Define advertising.
- (b) Identify physical evidence in a bank.
- (c) Why are ethics important in financial services?
- (d) Discuss the impact of technology in marketing.
- (e) Who are the stakeholders in product management strategy?
- (f) State the benefits of marketing information system.
- (g) Is online marketing a substitute of offline marketing of financial services? State reasons to support your answer.
- (h) State the services a bank offers to its customers.
- (i) Define service recovery.
- (j) What are the macro environmental factors affecting an organization.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) Elaborate few new trends governing the future in financial sector?

OR

- (b) Explain PLC steps for any company of your choice with appropriate strategies to sustain in the competitive market.

Q.3. (a) Explain the marketing research process in detail.

OR

- (b) “The real threat to business is from within, from poor ethical standards and lack of integrity that can do incalculable harm.” Comment.

Q.4. (a) What are the various pricing techniques you can implement to sell a pension plan?

OR

- (b) State the various distribution channels a bank may go for. Also describe the most effective means of distribution according to you.

Q.5. (a) You have been asked to present your financial product to a potential customer. Using the selling process, what steps will you take to ensure a sale.

OR

(b) Elaborate on the service recovery measures one can take in the event of a customer complaining against poor service quality by the company.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

Today, millions of cryptocurrency investors have been scammed out of massive sums of real money. In 2018, losses from cryptocurrency-related crimes amounted to \$1.7 billion. The criminals use both old-fashioned and new-technology tactics to swindle their marks in schemes based on digital currencies exchanged through online databases called blockchains. But an even more basic question arises: How are unsuspecting investors attracted to cryptocurrency frauds in the first place?

Fast-talking swindlers

Some cryptocurrency fraudsters appeal to people's greed, promising big returns. For example, an unknown group of entrepreneurs runs the scam bot iCenter, which is a Ponzi scheme for Bitcoin and Litecoin. It doesn't provide information on investment strategies, but somehow promises investors 1.2 percent daily returns.

Lies and more lies

Some scammers go for straight-up deception. The founders of scam crypto currency One Coin defrauded investors of \$3.8 billion by convincing people their nonexistent crypto currency was real. Other scams are based on impressing potential victims with jargon or claims of specialized knowledge. Global Trading used a bot on Telegram, too — investors could send a balance inquiry message and get a response with false information about how much was in their account, sometimes even seeing balances climb by 1 percent in a single hour. With returns looking like that, who could blame people for sharing the scheme with their friends and family on social media?

Exploiting friends and family

Once a scheme has started, it stays alive, at least for a while, through social media. One person gets taken in by the promise of big returns on cryptocurrency investments and spreads the word to friends and family members. Sometimes big names get involved. For instance, the kingpin behind GainBitcoin and other alleged scams in India convinced a number of Bollywood celebrities to promote his book, "Cryptocurrency for Beginners". He even tried to make himself a bit of a celebrity, proclaiming himself a "cryptocurrency guru," as he led efforts that cost investors between \$769 million and \$2 billion.

Fraudulent initial coin offerings

Another popular scam technique is called an "initial coin offering." A potentially legitimate investment opportunity, an initial coin offering essentially is a way for a startup crypto currency company to raise money from its future users: In exchange for sending active cryptocurrencies like bitcoin and ethereum, customers are promised a discount on the new cryptocurrencies. Many initial coin offerings have turned out to be scams, with organizers engaging in cunning plots, even renting fake offices and creating fancy-looking marketing materials. In 2017, a lot of hype and media coverage about cryptocurrencies fed a huge wave of initial coin offering fraud. In 2018, about 1,000 initial coin offering efforts collapsed, costing backers at least \$100 million. Investors looking for returns in a new technology sector are still interested in blockchains and cryptocurrencies — but should beware that they are complex systems that are new even to those who are selling them. Newcomers and relative experts alike have fallen prey to scams. In an environment like the current cryptocurrency market, potential investors should be very careful to research what they're putting their money into and be sure to find out who is involved, not to mention what the actual plan is for making real money — without defrauding others.

6(a) Describe the reasons FTX could scam investors for long.

6(b) What can the Indian government investors and can learn from?